Datadog

Full investment deep dive | DDOG | NASDAQ | Framework 8.0

Cloud observability becomes an operating layer for AI. Datadog combines a broad telemetry platform with tools that investigate, secure and act on production systems. Its strongest asset is the working context already embedded in customers' operations; its limitation is that customers can choose competing platforms and optimize consumption.

Status	Current assessment
Coverage / holding	New coverage; holding status not supplied - no holding assumed
Classification	BENEFICIARY / Watchlist; workflow moat, not a sole-source chokepoint
Analytical Base	40/60 = 67% (normal lattice rounding)
Quote snapshot	$275.48; retrieved 30 September 2026 from TradingView close field; exchange-session timestamp unavailable
Capitalization snapshot	358.956785m shares outstanding at 30 June 2026 x quote = approximately $98.92bn; not the valuation's diluted denominator
Active ceiling	Q3 2027: $88.11/share; earnings window Q3 2027 - Q2 2028
Method	20x company-adjusted forward-four-quarter operating profit / modeled diluted shares; not GAAP P/E
Data / scope	Latest actual Q2 2026; August 6 guidance anchors Q3 and FY2026; forecasts through Q4 2030 supply all rolling windows

Investment judgment

The business passes the framework's watchlist threshold because cloud migration, AI-generated applications and repeated customer expansion have observable commercial traction. It earns no physical-bottleneck designation: open standards and strong competitors limit pricing power. Public visibility also limits the information edge.

The active case incorporates favorable and adverse breadcrumbs once, using explicit probability weights. Most forecast profit growth comes from assumed operating leverage; the AI-credit opportunity is deliberately bounded. A high-quality business does not justify silently changing the sanctioned multiple.

Created and researched 30 September 2026. The editable source, PDF and DDOG_Q_Model are synchronized. Market quotation is a dated snapshot; the price-dependent ranking belongs in Excel. Source IDs throughout refer to the register at the end.

What Datadog sells

Business and moat | Price-free thesis

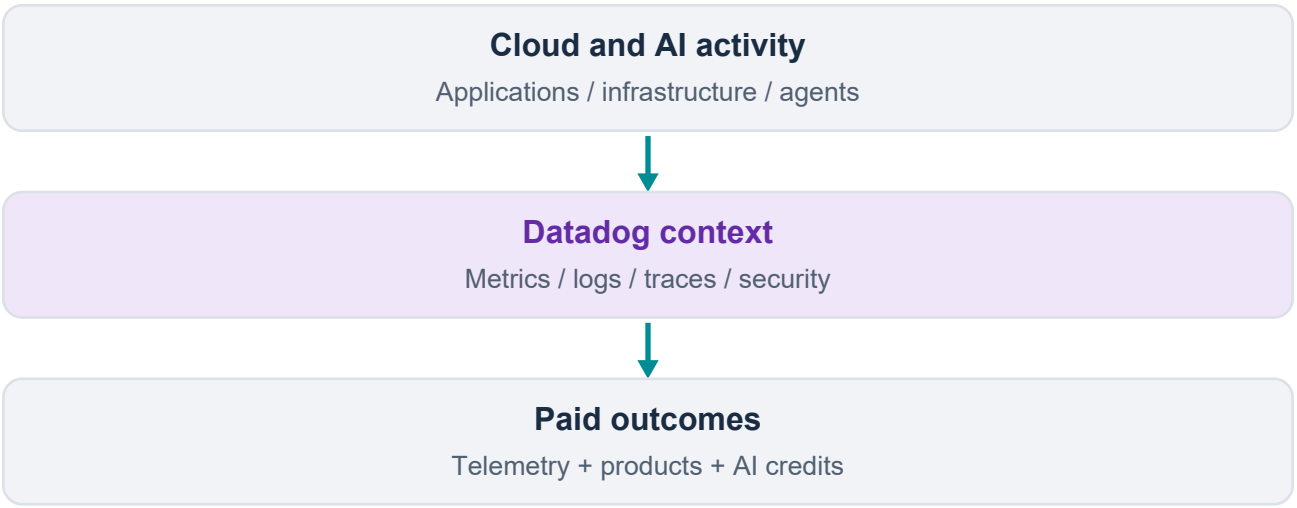


Figure 1. Analyst-created explanation of the business model, not an issuer exhibit; the same workload can influence several products, so revenue must be reconciled rather than added repeatedly.

From telemetry to action

Infrastructure monitoring, application performance, logs and digital experience help teams diagnose production failures. Security and software-delivery products use the same technical context. Bits AI adds autonomous investigations and other operational work, while Agent Observability monitors customers' own AI applications. These are distinct paid units even when the underlying customer is the same. [S2, S5, S8]

Where the moat resides

Cross-product context, installed integrations, historical telemetry, configured monitors and trained workflows make replacement costly. The platform can expand with customer workloads and product adoption. Retention and multi-product use support this mechanism; they do not make Datadog indispensable to every workload. [S2, S6]

Where it does not

There is no exclusive manufacturing capacity or physics barrier. OpenTelemetry makes data collection more portable; hyperscaler-native services, Dynatrace, Grafana, Elastic and internal systems compete for the same budgets. Datadog must keep winning on workflow quality, speed, integration and total cost. [S5, S11-S14]

Two earnings calls, one forward test

Management evidence; operating signals are not automatically billable-dollar growth

Signal	Q1 2026 / May 7 call	Q2 2026 / August 6 call
Total customers	About 33,200	About 33,400
Customers >$100k ARR	About 4,550	About 4,720; 91% of ARR
Non-AI cohort revenue growth	Mid-20s YoY	High-20s YoY
Large AI-native accounts	22 >$1m annually; 5 >$10m	31 >$1m annually; 8 >$10m
Broad customer expansion	New-logo bookings and landing size more than doubled YoY	New customers accounted for about 30% of YoY revenue increase
Platform use	56% used 4+ products	58% used 4+; 37% used 6+; 13% used 10+
Retention	Low-120s net; mid/high-90s gross	Similar retention ranges

Sources: issuer-hosted Q1/Q2 call transcripts, management remarks only. These cohort measures are approximate and use different denominators; they are not a product revenue segmentation. [S2, S3]

The favorable breadcrumb

Two sequential calls show broad demand beyond the largest AI accounts. In Q1, over 6,500 customers used AI integrations; their total ARR was roughly 80% of company ARR. That is neither 80% AI-product revenue nor a count of paying Bits customers. The new model prices a modest incremental telemetry premium and separate paid-credit adoption rather than converting activity multiples directly into sales. [S3]

The adverse breadcrumb

The largest customer renewed, but reduced usage was included in Q3 and FY2026 guidance. The active reference therefore retains that known reduction. A separately weighted, additional 2027+ optimization risk is explicitly modeled; no second haircut is applied to 2026 guidance. Customer identity, exact share and reduction amount remain undisclosed. [S2, S4]

What resolves the debate next

The next reported quarters should show whether broad customer consumption offsets concentrated optimization, whether retention holds, and whether paid autonomous work develops measurable revenue. New-logo and product adoption are supporting signals, not substitutes for revenue and margins.

Reported economics and accounting

USD millions | Actuals are separate from guidance and assumptions

Metric	Q1 2026 actual	Q2 2026 actual
Revenue	1,006.426	1,121.454
GAAP gross profit	797.198	881.341
Company-adjusted gross profit	807.226	892.299
GAAP operating profit	7.327	5.455
Company-adjusted operating profit	223.497	257.031
Adjusted operating margin	22.2%	22.9%
Expensed stock compensation	196.841	220.251
Operating cash flow	334.622	315.872
Free cash flow	289.091	278.704
Diluted weighted-average shares (m)	364.731	371.023

Source: reported releases, supplemental package and Q2 filing. Original quarterly reported figures are used; differences of $0.001m in accumulated totals are rounding. [S1, S4, S16]

Q2 profit reconciliation

Q2 2026 operating-profit bridge	USDm
GAAP operating profit	5.455
Add expensed stock compensation	220.251
Add acquired-intangible amortization	1.672
Add employer payroll taxes on equity transactions	27.643
Add M&A transaction costs	2.010
Company-adjusted operating profit	257.031

This is operating profit, not EBITDA: ordinary depreciation and internal software amortization remain expenses. The model excludes the issuer's above adjustments and carries a separate dilution schedule. Stock compensation is economically material: Q2 expensed SBC was approximately 19.6% of sales; cash FCF does not deduct those shares as cash wages. A dilution proxy does not prove the full owner cost of SBC has been captured. [S1, S4]

TAM expands, but scope matters

Forecast boundaries | Forward opportunity is a breadcrumb, not a confirmed entitlement

Comparable Observability opportunity

USD billions

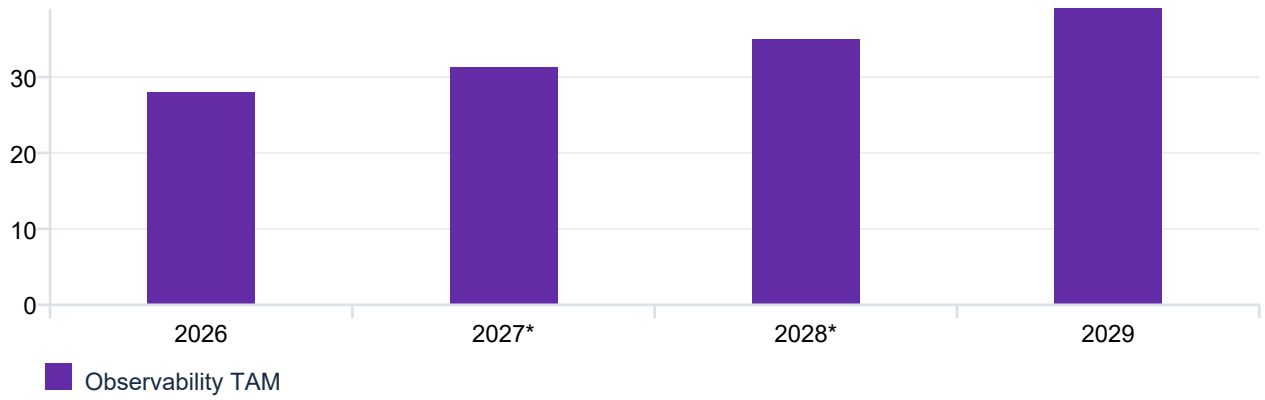


Figure 2. 2026 and 2029 endpoints from issuer disclosures citing Gartner; *2027/2028 are geometric interpolation at 11.68%, not separately published Gartner forecasts. [S5, S6]

Year	Observability TAM ($bn)	Evidence status
2026	28.00	Issuer-cited forecast
2027	31.27	Analyst interpolation
2028	34.92	Analyst interpolation
2029	39.00	Issuer-cited forecast

The 2029 $39bn Observability category is inside $82bn IT Operations Management. The broader markets in which Datadog participates total $187bn. These figures overlap and must not be summed. Total company revenue divided by narrow Observability TAM is only a rough scale check because revenue includes adjacent categories. [S5]

Ford Principle: what the platform can enable

Phase	Credible expansion mechanism	Treatment
Today / 100% framework phase weight	Cloud applications, AI inference and operational telemetry	Existing commercial reference; no extra TAM revenue added
3-5 years / 50% phase weight	More autonomous operations, security, software delivery; monitoring edge and physical-AI services	Bounded paid-work proxy; no fabricated robot/edge revenue
New markets / 20% phase weight	Machines as telemetry users and automatic remediation customers	Architecturally credible but early; no separate unbounded pool

Phase weights guide thesis assessment; they are not multiplied again into B1/B2 economics. Unknown contract sizes are addressed through explicit proxies, and overlapping use cases remain within one active model.

Framework score and risk discipline

One summing score, separate from individual event probabilities

Category	Score	Evidence and constraint
Core thesis	14/20	Integrated telemetry, installed workflows and switching costs; no physical scarcity or sole-source requirement.
Cycle stage	8/10	Core platform established; AI workload monitoring and paid agents in early commercial ramp.
TAM expansion	8/10	Observability, security and autonomous operations expand the wallet; overlapping markets kept distinct.
Catalysts	4/5	Next earnings, large-customer usage, product monetization and enterprise adoption over 6-18 months.
Macro	8/10	Cloud migration, AI code and persistent services increase monitoring demand; consumption is elastic.
Alpha	2/5	Paid-credit monetization can be modeled, but DDOG is widely followed and the thesis is public.
Risks	-4	Four classes: substitution/pricing; customer concentration; SBC/dilution economics; AI execution and hosting cost.
Total	40/60	67% rounded on the framework lattice; Watchlist

Pre-analysis: supercycle and S-curve

Datadog participates downstream of cloud and AI compute deployment. Its core platform is established; monitoring AI workloads and paid autonomous operations are earlier in their commercial curves. The near-term catalyst is customer consumption and monetization over the next 6-18 months, rather than a new factory or supply quota.

Four distinct scored risk classes

1. Substitution and pricing: native cloud tools, open telemetry and capable rivals constrain pricing. **2. Customer concentration:** a large AI customer can reduce usage even after renewal. **3. Equity economics:** material SBC and continued dilution limit per-share capture. **4. AI execution and costs:** unreliable automated remediation, hosting costs or adverse product mix can delay profitable adoption.

Macro exposure is reflected in the Macro score; it is not silently counted twice in the four-point deduction. The Base assesses thesis quality, not the probability that an individual contract or product endpoint succeeds. It is never multiplied into operating revenue or the ceiling.

Why the score is not higher

Strong retention is not sole-source control. Much of the AI thesis is public and widely followed. The product can become strategically useful without controlling a scarce physical input; core and Alpha scores reflect that distinction.

Reference model and revenue vectors

Latest guidance anchor first; every later input has an explicit role

Period / item	Revenue ($m)	Adjusted OP ($m)	Status / derivation
Q3 2026	1,135-1,145	260-270	August 6 company guidance
FY2026	4,450-4,470	1,010-1,030	August 6 company guidance
Q3 active model	1,140.000	265.000	Guide midpoint; all incremental branches contribute zero
Q4 active model	1,192.120	274.472	FY midpoint less reported H1 and modeled Q3; not standalone Q4 guidance

Vector	Source / evidence	Reference already included	Increment / confidence
Core platform reference	FY26 guide; customer retention and new-logo evidence [S1-S3]	2027 growth 18pp retained expansion + 7pp new logos; 2028 17+7; 2029 15+7; 2030 13+7	Model calibration, not company growth guidance; MEDIUM near term / LOW long range
Telemetry premium B1	Two calls show non-AI acceleration [S2,S3]	Core growth and existing AI/customer cross-sell	55% x prior-year reference x 75% eligible pool x 4/4/3/2pp premium; LOW
Paid autonomous work B2	GA products and credit rate card [S1,S2,S8,S9]	50% conditional revenue overlap reserve	35% x net incremental credit revenue; LOW
Further optimization B3	Large-customer usage reduction demonstrates mechanism [S2,S4]	Known 2026 reduction stays in guide	30% x 10% exposure proxy x 25% further reduction from 2027; LOW

The reference is deliberately below the latest broad-cohort growth and assumes a gradual fade. The 7pp new-logo contribution is about 28% of the 2027 reference growth, close to the reported 30% share of the Q2 revenue increase, without treating that disclosure as guidance. B1 is a noncompounding revenue-level premium calibrated to an additional growth difference; prior increments are not recursively compounded. [S2,S3]

No exact product revenue or product gross margin is reported: this model separates analytical vectors, not fabricated business segments. Security, BYOC, GPU monitoring and ordinary LLM-observability growth are already represented in the reference. No additional percentage of hyperscaler capex is converted into Datadog sales.

Revenue path and analytical mix

One active case; no increment is multiplied by Base again

Active revenue by analytical stream

USD millions

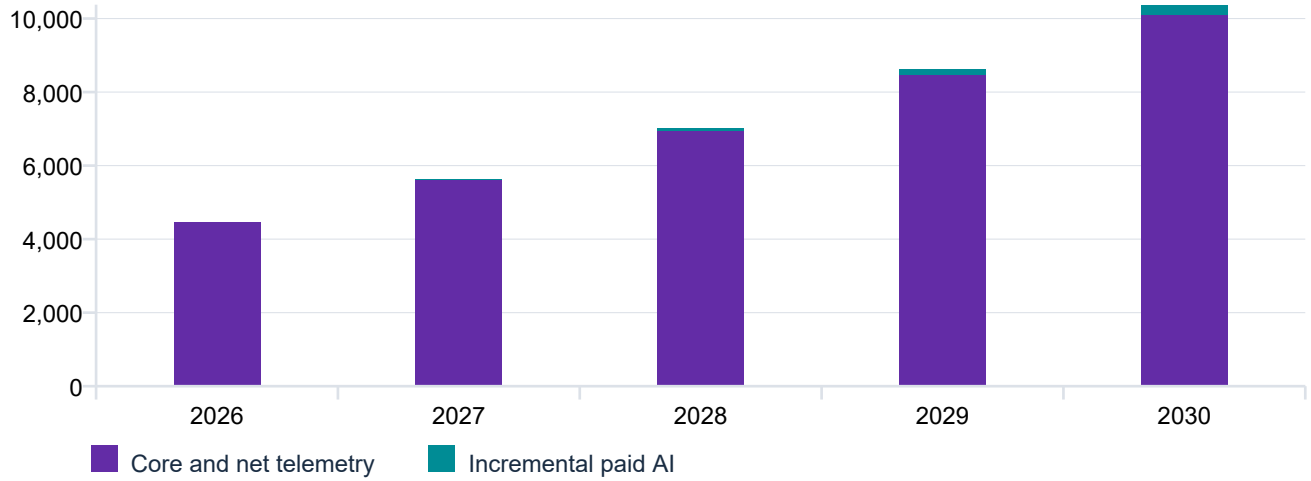


Figure 3. Model-generated revenue decomposition; 2026 is anchored to guidance and later years are forecasts. Core includes B1 usage gains less B3 optimization; the teal portion is only B2's weighted incremental revenue, not all company AI revenue.

Year	Reference	B1 +	B2 +	B3 -	Active revenue
2026	4,460.0	0.0	0.0	0.0	4,460.0
2027	5,575.0	73.6	21.4	41.8	5,628.2
2028	6,913.0	92.0	75.6	51.8	7,028.7
2029	8,433.9	85.5	161.7	63.3	8,617.9
2030	10,120.6	69.6	262.1	75.9	10,376.4

Revenue = reference + probability-weighted B1 + probability-weighted B2 - probability-weighted B3. The gross credit opportunity is reduced for overlap before probability weighting. Values shown are annual recognized-revenue model amounts, not exit ARR or contract value.

What must hold

The path requires sustained wallet/share gains above the approximately 11.68% interpolated Observability market growth, plus adjacent-product adoption. It does not require all earlier-stage products to reach a $100m threshold. New application creation must translate into retained production workloads and paid monitoring.

What prevents exaggeration

AI activity growth is not a billing multiplier. The model retains a 2026 guidance anchor, growth fade, overlapping-revenue reserve and incremental concentration downside. The current published rate card constrains the paid-unit model; longer context and tool calls are not all separately billed.

Margins and profit capture

Operating leverage is a larger assumption than the incremental AI revenue

Adjusted margin path

Percent

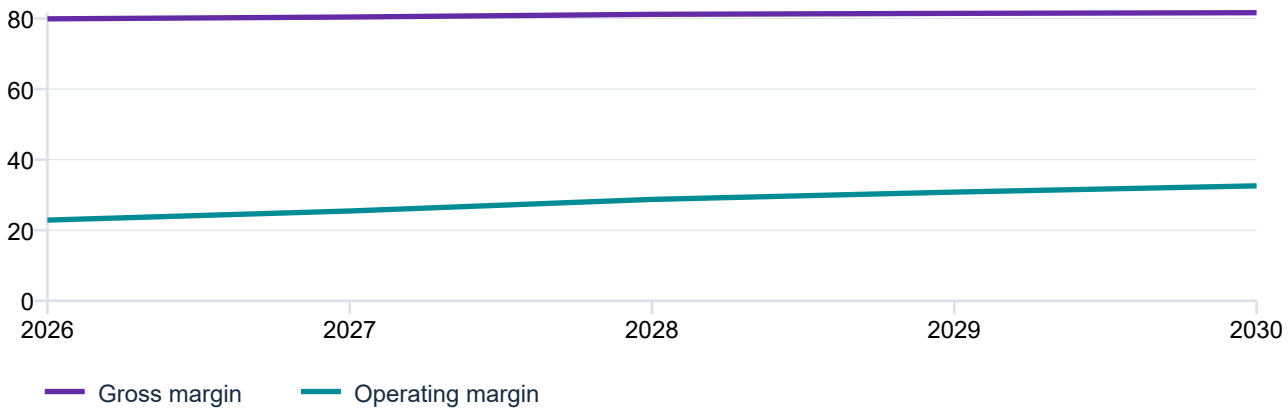


Figure 4. Model-generated adjusted margins; 2026 is guidance-anchored, and later cost/margin ratios are analyst assumptions, not management commitments. The issuer's stated long-term operating-margin goal is 25%+. [S6]

Year	GP	R&D	S&M	G&A	OP	OP margin
2026	3,562.9	1,302.9	1,038.4	201.6	1,020.0	22.9%
2027	4,525.2	1,583.6	1,267.8	241.4	1,432.3	25.4%
2028	5,704.9	1,878.5	1,521.4	285.7	2,019.3	28.7%
2029	7,018.2	2,221.2	1,804.9	337.3	2,654.8	30.8%
2030	8,470.1	2,590.8	2,110.4	389.0	3,379.8	32.6%

Two cost pools, neither free

Core gross margin follows an approximately 80% starting point, improving gradually. Incremental AI credits carry a 70% gross-margin proxy to allow for inference, cloud and support costs. This product margin is not disclosed. R&D, sales/marketing and G&A ratios decline with scale, while dollar expenses continue to increase.

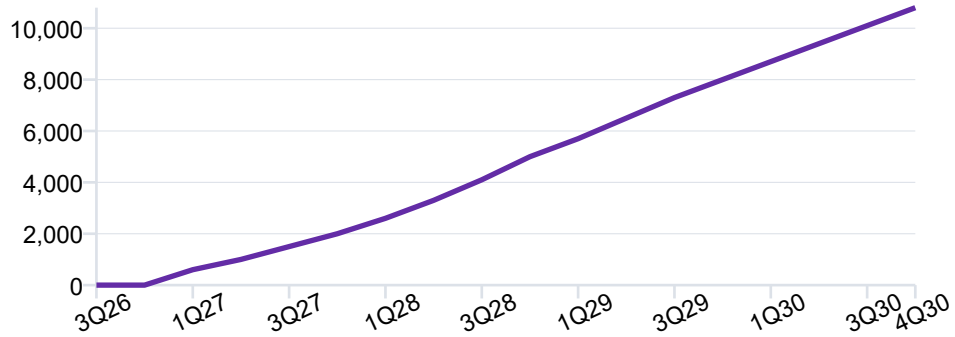
The later margin ramp exceeds the open-ended 25%+ management objective and is a material execution assumption. Slower cost absorption, more reinvestment or lower credit economics would reduce profit. The valuation section includes an explicit operating-margin sensitivity.

Paid AI operating driver

Quarterly-average organizations and credits are modeled proxies, not reported adoption

Conditional paid organizations

Organizations



Paid-work revenue after overlap

USD millions

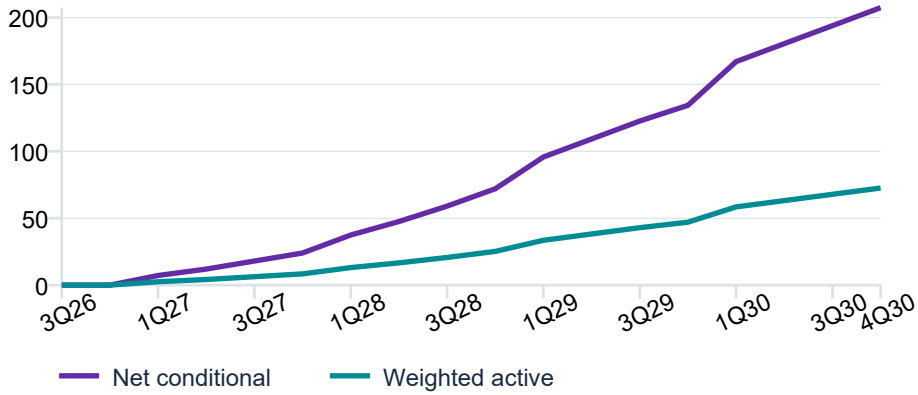


Figure 5. Model-generated adoption and recognized-revenue paths. Conditional revenue subtracts the 50% overlap reserve; the active path applies the 35% realization probability once. Organization counts are quarterly averages.

Quarter	Paid orgs	Credits / org / month	$/credit	Gross revenue	Net conditional	Active B2
Q3 2026	0	0	0.80	0.0	0.0	0.0
Q1 2027	600	10,000	0.80	14.4	7.2	2.5
Q3 2027	1,500	10,000	0.80	36.0	18.0	6.3
Q4 2027	2,000	10,000	0.80	48.0	24.0	8.4
Q4 2028	5,000	12,000	0.80	144.0	72.0	25.2
Q4 2029	8,000	14,000	0.80	268.8	134.4	47.0
Q4 2030	10,800	16,000	0.80	414.7	207.4	72.6

Annual-commitment list pricing is $1 per credit; the model uses $0.80 realized. With approximately 6.5 credits for an illustrative investigation, $0.80 would imply $5.20 realized revenue per such action before costs. Actual usage varies. The adopted 10,000-16,000 credits per organization/month and organization path are assumptions, not measured customer demand. [S8]

Probability ledger: explicit outcomes

Each branch is priced once; source esteem is not certainty about quantity

B1 | 55% subjective probability

Signal and hypothesis: A noncompounding telemetry revenue premium, measured as 4% of the eligible prior-year reference in 2027/28, 3% in 2029 and 2% in 2030.

Evidence: 2026-05-07 / 2026-08-06; S2/S3, same issuer sequence. Two sequential management observations: non-AI growth accelerated; related AI traffic metrics support demand but are correlated, not independent confirmations.

Reference and overlap: Existing-customer growth 18/17/15/13% plus new-logo 7% in 2027/28/29/30 already includes ordinary expansion. No extra billing for Bits credits in B1; B2 models separate paid operational work. Existing AI and cross-sell revenue stay in reference.

Revision test: Raise to 65% after two quarters of broad-cohort growth above reference; lower to 30% if non-AI growth falls below 25% or consumption slows.

B2 | 35% subjective probability

Signal and hypothesis: New AI credit monetization reaches modeled average paid organizations during each quarter and credit usage beyond ordinary product expansion.

Evidence: 2026-08-06 / pricing accessed 2026-09-30; S1/S2/S7/S8/S9. General availability and a published price establish monetization; paid customer count, discount and recognized revenue are unknown.

Reference and overlap: 50% of gross conditional credit revenue reserved for existing monetization, credits/included use and reference growth. AI integration customers and customer ARR are not AI-credit revenue. Security included investigations and existing paid Bits are captured in 50% overlap reserve.

Revision test: Raise to 50% on paid adoption and meaningful recognized sales; lower to 15% if usage remains bundled/free or realized pricing falls below USD 0.60.

B3 | 30% subjective probability

Signal and hypothesis: Additional largest-customer optimization in 2027+ beyond the cut already in 2026 guidance.

Evidence: 2026-08-06; S2/S4. Renewal reduces churn risk but customer engineering can reduce external monitoring intensity. This is an incremental downside, not the disclosed cut repeated.

Reference and overlap: 2026 Q3/FY guidance fully carries the known usage reduction; zero additional 2026 haircut. No haircut to 2026 guidance. 10% is an exposure stress proxy, not an asserted customer revenue share.

Revision test: Set to 0% if usage stabilizes through two 2027 quarters; raise to 50% if additional optimization is disclosed; replace 10% proxy if actual exposure emerges.

Joint interpretation and zero-disposition rules

B1 and B2 share the AI-adoption cycle but measure different billing channels; they are not independent confirmations. The reference and B2 overlap reserve prevent counting ordinary cross-sell again. Security, GPU monitoring, BYOC and LLM Observability are included in the core reference, not discarded for lack of confirmation. No direct capex-to-revenue bridge is claimed.

No probability is applied again to final per-share ceilings. Zero 2026 increments reflect the chosen guidance anchor and already-included signal, not a confirmation-only exclusion.

Telemetry and optimization: numeric ledger

USD millions | All figures are model inputs or model arithmetic

Quarter	Prior reference	75% pool	B1 rate	B1 conditional +	55% active +	Reference	B3 exposure	Further cut	B3 conditional -	30% active -
Q3 2026	0.0	0.0	0%	0.0	0.0	1,140.0	0%	0%	0.0	0.0
Q4 2026	0.0	0.0	0%	0.0	0.0	1,192.1	0%	0%	0.0	0.0
Q1 2027	1,006.4	754.8	4%	30.2	16.6	1,258.0	10%	25%	31.5	9.4
Q2 2027	1,121.5	841.1	4%	33.6	18.5	1,401.8	10%	25%	35.0	10.5
Q3 2027	1,140.0	855.0	4%	34.2	18.8	1,425.0	10%	25%	35.6	10.7
Q4 2027	1,192.1	894.1	4%	35.8	19.7	1,490.1	10%	25%	37.3	11.2
Q1 2028	1,258.0	943.5	4%	37.7	20.8	1,560.0	10%	25%	39.0	11.7
Q2 2028	1,401.8	1,051.4	4%	42.1	23.1	1,738.3	10%	25%	43.5	13.0
Q3 2028	1,425.0	1,068.8	4%	42.8	23.5	1,767.0	10%	25%	44.2	13.3
Q4 2028	1,490.1	1,117.6	4%	44.7	24.6	1,847.8	10%	25%	46.2	13.9
Q1 2029	1,560.0	1,170.0	3%	35.1	19.3	1,903.2	10%	25%	47.6	14.3
Q2 2029	1,738.3	1,303.7	3%	39.1	21.5	2,120.7	10%	25%	53.0	15.9
Q3 2029	1,767.0	1,325.2	3%	39.8	21.9	2,155.7	10%	25%	53.9	16.2
Q4 2029	1,847.8	1,385.8	3%	41.6	22.9	2,254.3	10%	25%	56.4	16.9
Q1 2030	1,903.2	1,427.4	2%	28.5	15.7	2,283.8	10%	25%	57.1	17.1
Q2 2030	2,120.7	1,590.5	2%	31.8	17.5	2,544.8	10%	25%	63.6	19.1
Q3 2030	2,155.7	1,616.8	2%	32.3	17.8	2,586.9	10%	25%	64.7	19.4
Q4 2030	2,254.3	1,690.7	2%	33.8	18.6	2,705.2	10%	25%	67.6	20.3

B1 conditional amount is the displayed eligible pool x rate. B3 conditional loss is reference x exposure x further cut. B1 adds a noncompounding level premium; B3 represents additional optimization after the known guidance cut. Inputs beyond 2026 remain subjective proxies, especially concentration exposure.

Linked model: DDOG_Q_Model usage inputs/outputs A34:J51; optimization inputs/outputs A80:F97; branch multipliers B29 and B31. Quarterly operating results A8:N25; the displayed active horizon is M12.

Paid-work ledger: reference and increment

USD millions except organizations, credits and price | 70% incremental gross-margin proxy

Quarter	Paid orgs	Credits / month / org	Realized $	Gross conditional	Overlap reserve	Net incremental	Probability	Active revenue
Q3 2026	0	0	0.80	0.0	0.0	0.0	35%	0.0
Q4 2026	0	0	0.80	0.0	0.0	0.0	35%	0.0
Q1 2027	600	10,000	0.80	14.4	7.2	7.2	35%	2.5
Q2 2027	1,000	10,000	0.80	24.0	12.0	12.0	35%	4.2
Q3 2027	1,500	10,000	0.80	36.0	18.0	18.0	35%	6.3
Q4 2027	2,000	10,000	0.80	48.0	24.0	24.0	35%	8.4
Q1 2028	2,600	12,000	0.80	74.9	37.4	37.4	35%	13.1
Q2 2028	3,300	12,000	0.80	95.0	47.5	47.5	35%	16.6
Q3 2028	4,100	12,000	0.80	118.1	59.0	59.0	35%	20.7
Q4 2028	5,000	12,000	0.80	144.0	72.0	72.0	35%	25.2
Q1 2029	5,700	14,000	0.80	191.5	95.8	95.8	35%	33.5
Q2 2029	6,500	14,000	0.80	218.4	109.2	109.2	35%	38.2
Q3 2029	7,300	14,000	0.80	245.3	122.6	122.6	35%	42.9
Q4 2029	8,000	14,000	0.80	268.8	134.4	134.4	35%	47.0
Q1 2030	8,700	16,000	0.80	334.1	167.0	167.0	35%	58.5
Q2 2030	9,400	16,000	0.80	361.0	180.5	180.5	35%	63.2
Q3 2030	10,100	16,000	0.80	387.8	193.9	193.9	35%	67.9
Q4 2030	10,800	16,000	0.80	414.7	207.4	207.4	35%	72.6

Gross conditional = quarterly-average organizations x monthly credits x realized $/credit x 3 / 1,000,000. The overlap reserve subtracts 50%, and the remaining increment receives 35% probability. The reserve approximates existing paid use, included/bundled uses and growth already in the reference; it is not a reported revenue breakout.

Linked model: DDOG_Q_Model B57:E74 adoption, consumption, price and overlap; F57:F74 net conditional revenue; G57:H74 probability and margin; I57:I74 active revenue. B30 globally enables/removes this branch. Gross profit and operating expenses propagate to the shared operating table.

Quarterly operating model

USD millions; shares in millions | Every row is modeled, including guidance-anchored 2026

Quarter	Revenue	Gross profit	R&D	S&M	G&A	Adjusted OP	OP margin	Diluted shares	Confidence
Q3 2026	1,140.0	909.7	329.9	264.3	50.5	265.0	23.2%	378.000	MEDIUM
Q4 2026	1,192.1	953.7	347.6	278.4	53.2	274.5	23.0%	380.572	MEDIUM
Q1 2027	1,267.7	1,013.9	362.7	289.9	55.6	305.7	24.1%	383.162	MEDIUM
Q2 2027	1,414.0	1,135.0	400.3	320.5	61.3	353.0	25.0%	385.770	MEDIUM
Q3 2027	1,439.4	1,159.5	403.1	323.4	61.6	371.4	25.8%	388.395	MEDIUM
Q4 2027	1,507.0	1,216.8	417.5	334.0	63.0	402.3	26.7%	391.038	MEDIUM
Q1 2028	1,582.1	1,280.1	430.3	347.5	65.3	436.9	27.6%	393.699	LOW
Q2 2028	1,765.0	1,431.3	474.7	384.1	72.0	500.5	28.4%	396.378	LOW
Q3 2028	1,797.9	1,461.2	478.2	387.6	72.4	523.0	29.1%	399.076	LOW
Q4 2028	1,883.7	1,532.3	495.3	402.3	75.9	558.9	29.7%	401.792	LOW
Q1 2029	1,941.7	1,578.6	506.6	410.8	77.3	584.0	30.1%	404.526	LOW
Q2 2029	2,164.5	1,761.8	560.4	455.7	85.0	660.7	30.5%	407.279	LOW
Q3 2029	2,204.4	1,795.9	566.2	459.6	85.5	684.6	31.1%	410.050	LOW
Q4 2029	2,307.3	1,881.8	588.0	478.8	89.5	725.5	31.4%	412.841	LOW
Q1 2030	2,340.8	1,907.9	591.8	481.0	89.6	745.4	31.8%	415.650	LOW
Q2 2030	2,606.4	2,127.1	653.7	533.0	98.5	841.9	32.3%	418.479	LOW
Q3 2030	2,653.1	2,167.4	660.1	537.2	98.9	871.2	32.8%	421.327	LOW
Q4 2030	2,776.0	2,267.6	685.1	559.3	102.1	921.2	33.2%	424.194	LOW

Expenses are budgeted on reference plus positive increments; B3 customer losses receive no automatic R&D, sales/marketing or G&A savings. Hosting gross costs fall at the core gross-margin assumption. Adjusted OP = gross profit - R&D - sales/marketing - G&A. Consolidated OP margin = adjusted OP / revenue. Product gross margins are undisclosed; core and paid-credit cost assumptions are proxies. The source workbook retains full precision; table rounding does not change the linked ceilings.

Q3 2026 is the midpoint of company guidance; Q4 is an FY-guidance residual. Forecast precision falls materially beyond the next 12-16 months; the full extension exists to provide exact forward-four-quarter windows and a long-range cross-check, not equal confidence across years.

Quarterly ceiling path

Valuation section | 20x adjusted operating profit; all figures are USD per share

Rolling forward-four-quarter ceilings

USD / share

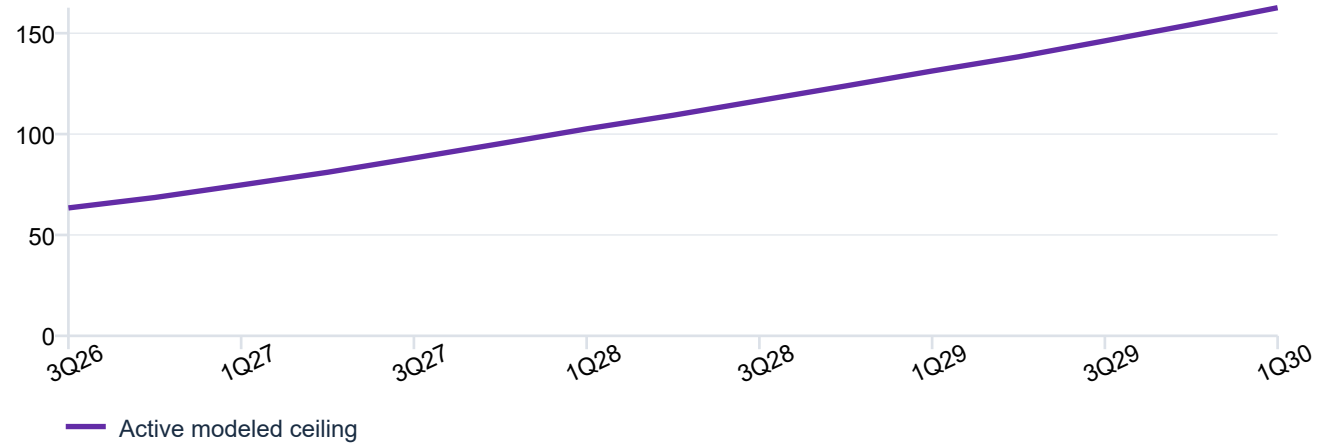


Figure 6. Model-generated ceilings; Q3 2027 is the master workbook's active horizon. Every value uses its own exact four-quarter earnings window and quarter-specific diluted shares; no multiple expansion is assumed.

Ceiling quarter	Ceiling / share	Ceiling quarter	Ceiling / share
Q3 2026	63.40	Q3 2028	116.60
Q4 2026	68.56	Q4 2028	123.85
Q1 2027	74.76	Q1 2029	131.26
Q2 2027	81.06	Q2 2029	138.29
Q3 2027	88.11	Q3 2029	146.20
Q4 2027	95.27	Q4 2029	154.26
Q1 2028	102.58	Q1 2030	162.63
Q2 2028	109.31		

Active derivation

Q3 2027 ceiling = (371.372 + 402.259 + 436.946 + 500.509) x 20 / 388.395 = **$88.11**. The operating profits cover Q3 2027, Q4 2027, Q1 2028 and Q2 2028.

Company-adjusted OP excludes material recurring equity compensation and certain other adjustments. This ceiling is neither GAAP earnings value nor an enterprise-value calculation: no additional cash/debt bridge is appended to the user's operating-profit convention. The balance sheet and equity dilution are disclosed separately.

All rolling-window derivations

USD millions and millions of diluted shares; per-share output in USD

Ceiling quarter	Exact OP inputs: Q through Q+3 ($m)	Forward 4Q OP	Multiple	Diluted shares	Ceiling / share
Q3 2026	265.00 + 274.47 + 305.74 + 352.95 | Q3 2026 - Q2 2027	1,198.168	20x	378.000	63.40
Q4 2026	274.47 + 305.74 + 352.95 + 371.37 | Q4 2026 - Q3 2027	1,304.540	20x	380.572	68.56
Q1 2027	305.74 + 352.95 + 371.37 + 402.26 | Q1 2027 - Q4 2027	1,432.327	20x	383.162	74.76
Q2 2027	352.95 + 371.37 + 402.26 + 436.95 | Q2 2027 - Q1 2028	1,563.530	20x	385.770	81.06
Q3 2027	371.37 + 402.26 + 436.95 + 500.51 | Q3 2027 - Q2 2028	1,711.086	20x	388.395	88.11
Q4 2027	402.26 + 436.95 + 500.51 + 522.97 | Q4 2027 - Q3 2028	1,862.679	20x	391.038	95.27
Q1 2028	436.95 + 500.51 + 522.97 + 558.87 | Q1 2028 - Q4 2028	2,019.294	20x	393.699	102.58
Q2 2028	500.51 + 522.97 + 558.87 + 584.02 | Q2 2028 - Q1 2029	2,166.366	20x	396.378	109.31
Q3 2028	522.97 + 558.87 + 584.02 + 660.69 | Q3 2028 - Q2 2029	2,326.550	20x	399.076	116.60
Q4 2028	558.87 + 584.02 + 660.69 + 684.57 | Q4 2028 - Q3 2029	2,488.152	20x	401.792	123.85
Q1 2029	584.02 + 660.69 + 684.57 + 725.53 | Q1 2029 - Q4 2029	2,654.804	20x	404.526	131.26
Q2 2029	660.69 + 684.57 + 725.53 + 745.42 | Q2 2029 - Q1 2030	2,816.209	20x	407.279	138.29
Q3 2029	684.57 + 725.53 + 745.42 + 841.94 | Q3 2029 - Q2 2030	2,997.459	20x	410.050	146.20
Q4 2029	725.53 + 745.42 + 841.94 + 871.25 | Q4 2029 - Q3 2030	3,184.141	20x	412.841	154.26
Q1 2030	745.42 + 841.94 + 871.25 + 921.21 | Q1 2030 - Q4 2030	3,379.827	20x	415.650	162.63

Every row: ceiling = displayed forward-four-quarter OP x20 / diluted shares for that ceiling quarter. Underlying OP is derived in the preceding operating table from revenue, gross margin and expenses. Negative periods would be identified explicitly; none occur in this modeled adjusted-profit path.

Linked model: DDOG_Q_Model J8:J22 sums four G-column operating profits; M8:M22 values J x K / I. Master Portfolio L128:Z128 links to those ceilings, with active P128 = model M12; Quarterly Ceilings row131 carries the same path.

Sensitivity and capitalization

Valuation section | Diagnostics explain the active case, not alternative price targets

What changes the active ceiling most

USD / share

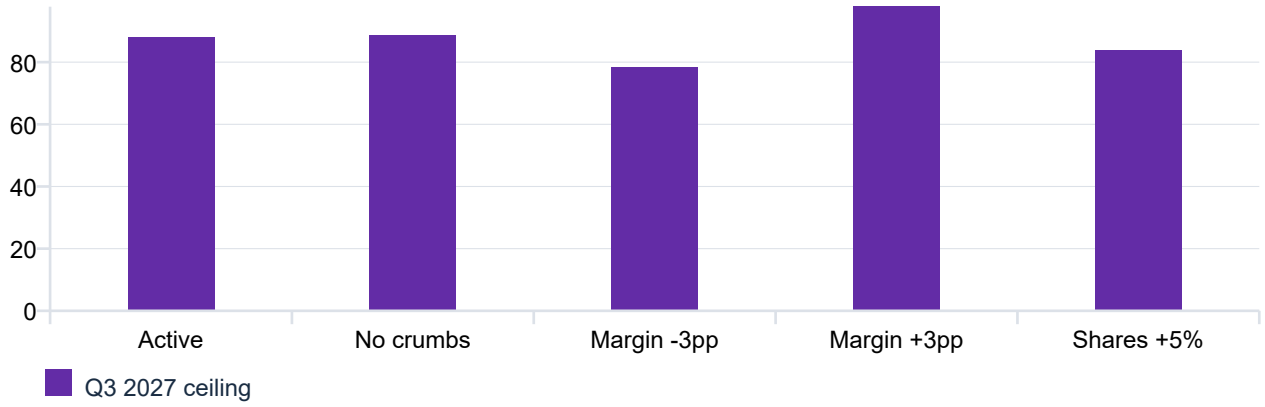


Figure 7. Model-generated one-input diagnostics, holding the valuation method fixed; no-increment removes all three branches together, including the adverse branch.

Input / scenario	Q3 2027 ceiling ($)
Active case	88.11
No incremental breadcrumbs	88.49
Telemetry probability 0%	86.94
Telemetry probability 100%	89.07
Bits probability 0%	87.72
Bits probability 100%	88.83
Extra customer cut probability 0%	90.05
Extra customer cut probability 100%	83.58
Operating margin -3 percentage points	78.39
Operating margin +3 percentage points	97.83
Diluted shares +5%	83.91

Sensitivities use coherent branch costs from the active model, rather than multiplying a ceiling by a probability a second time. The large margin sensitivity shows why execution matters more than a small adoption-proxy adjustment.

Shares, liquidity and model boundaries

Separate instrument disclosure from the valuation denominator

Item	Reported anchor / model treatment
Cash and marketable securities	$4,985.438m at June 30, 2026
Debt	$1,000m face value 0% convertible due December 1, 2029; carrying value $985.545m
Net financial cash	$3,985.438m using note face value; $292.256m lease liabilities considered separately
Actual outstanding shares	358.956785m Class A + Class B at June 30
Reported diluted shares	371.023m Q2 weighted average, already including approximately 4.596m convertible-note dilution
Forecast denominator	378m Q3 guidance anchor, then 2.75% annual growth compounded quarterly; FY EPS denominator cannot be reconciled by averaging quarters
Why 2.75%	Midpoint of issuer 2.5-3.0% net award-dilution target; modeling proxy, not guaranteed total-share growth
Convert mechanics	$217.60 initial conversion price; issuer may use cash/shares/mix; capped calls extend to $322.38
Double-count control	No second 4.596m note-share addition; no new debt financing assumed
Balance-sheet valuation rule	Financial cash and debt disclosed for risk; no unsanctioned addition/subtraction to the 20x OP convention

Sources: Q2 filing, note disclosures, guidance and investor presentation. Conditional note conversion was not triggered for July-September 2026; accounting dilution can exist before holder conversion is permitted. Capped-call benefits are excluded from GAAP diluted EPS and are not assumed as a certain offset here. [S1, S4, S6]

What the model does not claim

It does not forecast exact GAAP earnings, company AI-product mix or paid Bits adoption from undisclosed data. It does not extrapolate traffic growth into sales one-for-one. It does not assume buybacks, settlement gains or a multiple rerating. Forecast cost ratios and share growth are visible assumptions that should change when specific new evidence supports them.

Q3 378m and FY2026 376m guidance use different period-specific diluted denominators. The modeled simple quarterly average is not an exact reconciliation: H1 reported diluted shares of 368.271m also differ from the 367.877m simple average of Q1 and Q2. Do not infer standalone Q4 share guidance by subtraction. The +5% share sensitivity captures this uncertainty. [S1,S4]

Cash conversion check

Positive FCF provides financial flexibility, but working capital and capitalized development matter. Hosting purchases are real expenses; equity compensation is real dilution. Watch cash conversion alongside GAAP profitability and the adjusted operating model rather than treating any one measure as complete owner earnings. [S4]

Triggers, counters and cross-book links

Actionable tests over the next 6-18 months

When / test	Positive evidence	Counter / model response
Next 2 earnings releases	Broad consumption, retention and new-logo revenue sustain	Reduce B1 weight if broad-cohort growth weakens below the stated threshold
2027 customer usage	Large renewal stabilizes and other accounts diversify growth	Reprice B3 if further optimization appears; replace concentration proxy when disclosed
Next 6-12 months: paid agents	Paid organizations, credit consumption and recognized revenue scale	Reduce B2 for bundled/free adoption, lower realization or weak retention
2027 operating leverage	Gross margin stays near 80%; growth absorbs operating costs	Lower future margin ratios if hosting/inference or reinvestment absorbs gains
Every filing	Diluted share growth and SBC trend fit the schedule	Update share schedule for awards, acquisitions or actual settlement mechanics

Cross-book: common demand, different revenue claims

MSFT, AMZN and GOOGL provide cloud environments in which these workloads operate. NVDA, AMD and ASIC ecosystems provide computing inputs; NBIS can benefit from demand for deployed compute. Datadog monetizes monitoring and operational context downstream. Shared AI growth does not establish a disclosed supplier contract, common market share or additive dollar entitlement.

Thesis-break conditions

Repeated broad consumption slowing despite AI deployment, sustained loss of telemetry wallet share to open/native platforms, failure to monetize paid work, or declining gross margins without offsetting value capture would undermine the modeled path. Keep favorable and unfavorable probabilities symmetric: evidence changes their weight and economics before full confirmation.

Current conclusion

The model supports a credible software beneficiary with a strong installed workflow and early autonomous-work opportunity. Its economics remain competitive and execution-sensitive. Maintain the single current model, preserve the 20x adjusted-OP method, and revise only supported operating or capital inputs as evidence develops.

Sources and audit trail

Direct sources | Research cutoff 30 September 2026

S1 | 2026-08-06 | Q2 2026 earnings and guidance
https://investors.datadoghq.com/news-releases/news-release-details/datadog-announces-second-quarter-2026-financial-results/

S2 | 2026-08-06 | Q2 earnings call, management remarks
https://investors.datadoghq.com/static-files/2360a5cc-f17a-4731-b74a-fb6f4617baf5

S3 | 2026-05-07 | Q1 earnings call, management remarks
https://investors.datadoghq.com/static-files/b162f4b4-ae66-4fd2-bc41-92b4f9a877c9

S4 | 2026-08-06 | Q2 2026 Form 10-Q
https://www.sec.gov/Archives/edgar/data/1561550/000162828026054458/ddog-20260630.htm

S5 | 2026-02-18 | 2025 Form 10-K: business, competition, market scope
https://www.sec.gov/Archives/edgar/data/1561550/000162828026008819/ddog-20251231.htm

S6 | 2026-08 | Investor presentation: TAM, customers, goals, dilution
https://investors.datadoghq.com/static-files/986ca4cd-9507-4c9d-b56f-4bae59d3dd47

S7 | 2026-02-12 | Investor Day: security and AI adoption
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S8 | Accessed 2026-09-30 | AI credit list pricing and usage units
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S9 | Accessed 2026-09-30 | AI credit billing definitions
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S13 | 2026-07-27 | Grafana agentic operations product announcement
https://grafana.com/press/2026/07/27/grafana-labs-ships-six-tools-that-power-agentic-operations-from-planning-to-production/

S14 | 2026-06 | Elastic metrics and migration product description
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S15 | 2026-04-21 | Datadog State of AI Engineering release
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S16 | 2026-08-06 | Q2 supplemental historical financial package
https://investors.datadoghq.com/static-files/477a4084-42e7-4468-af1d-1bf9ae99d9ab

Original issuer slide downloads were unavailable to this build. All seven figures are explicitly analyst-created explanations or plots of this model; none is presented as an original company exhibit. Call excerpts are paraphrased and issuer financial tables distinguish actuals from assumptions.

Model custody: DDOG_Q_Model in v3_2_master_portfolio.xlsx; synchronized DDOG_Datadog_DeepDive.md and .pdf. Framework: FRAMEWORK_v8.0_CONSOLIDATED.md. All forecast tables derive from one dated calculation snapshot.